

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

NETCYCLE TRADING CORP., *REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY LICENSE No. 021597NF*

DOCKET NO. 24-15

Served: June 12, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER GRANTING MOTION TO ACCEPT LATE FILING

On March 22, 2024, a notice and initial order was filed outlining the process for handling this proceeding. On April 16, 2024, the Office of Enforcement within the Bureau of Enforcement, Investigations, and Compliance (“BEIC”) filed a copy of the Bureau of Certification and Licensing (“BCL”) notice of intent to revoke provided to Netcycle Trading Corp. (“Netcycle”) along with the material supporting the notice. Later on April 16, 2024, a notice of right to respond and to reply was issued advising Netcycle that it could respond in support of continuation of its license, and its response must be filed no later than May 16, 2024.

No response was received from Netcycle. On May 21, 2024, an email was sent at the direction of the undersigned to the parties stating: “The Judge was expecting to receive a filing from Netcycle last week but did not. If a filing was sent, please let us know. Otherwise, the Judge will conclude that Netcycle is not filing anything else in this proceeding. Thank you.” About three hours later, an email was received, stating: “My firm was just retained to represent Netcycle in this matter. Would it be possible to get an extension of time to file a response?” Within an hour, Netcycle’s counsel’s email was forwarded to all parties, in an email stating:

Any requests should be filed as a motion. In addition, opposing counsel must always be copied on any communication. They are copied on this email and thereby provided a copy of your email below. Please see the Notice and Initial Order in the docket for these [and] other requirements, available at:
<https://www2.fmc.gov/readingroom/proceeding/24-15/>.

On May 31, 2024, Netcycle filed a motion for acceptance of late filing (“Motion”) with its proposed response. Netcycle asserts that exceptional circumstances exist and “as a result of medical issues and work obligations, Netcycle inadvertently missed the deadline to respond;” the extension is in the interests of justice as “a revocation will have profound ramifications for Netcycle, its customers, and its employees;” Ms. Ledesma’s medical issues constitute good cause; and as the filing is only 15 days late, there is no prejudice to BEIC. Motion at 2-3.

On June 5, 2024, BEIC filed an opposition to Respondent's motion ("Opposition"), asserting that Netcycle had notice of the filing deadline which it failed to meet; there are no supporting details as to the work obligations or medical issues referred to and it is unclear why Ms. Ledesma's medical condition would prevent Netcycle from responding; and Netcycle cannot meet the standard of exceptional circumstances for filings submitted after the due date, which should require a higher bar than simple good cause. Opposition at 2-5.

Rule 102 states that "[m]otions submitted after the scheduled filing date will be considered a request to accept late filing and must be accompanied by the document. These motions will only be considered when exceptional circumstances are shown or as justice may require." 46 C.F.R. § 502.102(b). As stated in a prior order, cited by Respondent:

Commission Rule 1 requires that its rules "be construed to secure the *just*, speedy, and inexpensive determination of every proceeding," 46 C.F.R. § 502.1 (emphasis added), and "any of the rules in this part, except §§ 502.11 and 502.153 [now 502.221], may be waived by... the presiding officer in any particular case to prevent undue hardship, manifest injustice, or if the expeditious conduct of business so requires." 46 C.F.R. § 502.10. "The Commission traditionally has sought to 'do equity' rather than permit a party to be cut off from an opportunity to be heard due to a rigid or mechanical application of the Commission's rules." *Verucci Motorcycles, LLC v. Senator International Ocean, LLC*, FMC No. 06-05, [2008 WL 2019109, at *2] (FMC May 7, 2008) (Order Reopening the Proceeding).

Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves, Docket No. 14-06, 2014 WL 7404584, at *11 (ALJ Nov. 21, 2014) (Order on Pending Motions and Partial Dismissal).

A failure to file one pleading timely does not typically lead to an adverse decision.

In previous cases before the Commission when a respondent or respondents have clearly failed to file any answer to a complaint or to show any inclination to participate in the proceeding at all, it is customary first to enter only a notice of default (not a default judgment) and to give such delinquent parties a second chance to answer the complaint and to explain their earlier failure or suffer default judgment.

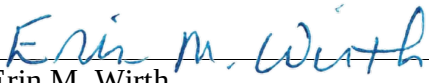
Tak Consulting Engineers v. Sam Bustani, Docket No. 98-13, 1998 WL 940842, at *3 (ALJ Oct. 1, 1998) (Rulings Relating to Complainant's Request to Enter Default Against Certain Respondents). Although the Netcycle initiated this proceeding, that only shows its interest in participating. Moreover, although rare, there are cases where parties have emailed pleadings to the Commission that have not been received. See *TPG Pressure, Inc. v. Omni Logistics LLC*, Docket No. 22-31, Order Granting Reconsideration and Granting Leave To File Sur-Reply at 1-2 (ALJ June 10, 2024); *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd.*, Docket No. 22-28, 2024 WL 1741944, at *2 n.2 (ALJ April 19, 2024).

BEIC's argument that Netcycle has not established exceptional circumstances is well-taken. However, the filing was Netcycle's opportunity to present its case and denying its request would effectively lead to a decision on default. Moreover, Netcycle would be able to appeal,

potentially delaying the ultimate decision. Therefore, the filing will be permitted to ensure a just and efficient determination of the merits of this proceeding.

BEIC requests that if Respondent's motion is granted, that it be given twenty days from the date of decision to file its response. This request is reasonable. BEIC may file a reply brief and appendix by July 2, 2024. 46 C.F.R. § 502.704.

For the reason stated above, it is hereby **ORDERED** that Netcycle's motion for acceptance of late filing be **GRANTED**. Netcycle's proposed response may be added to the docket. It is **FURTHER ORDERED** that BEIC may file a response by July 2, 2024.


Erin M. Wirth
Chief Administrative Law Judge